

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Autumn 2021
Module Code	AC2204
Module Title	INTRODUCTION TO MANAGEMENT ACCOUNTING
Paper Number	1
External Examiner	Professor Ivo De Loo
The Head of the Department	Professor Mark Mulcahy
Internal Examiners	Dr Margaret Healy
Instructions to Candidates	Answer three questions in total. Please attempt QUESTION ONE from Section A and TWO questions from Section B. Separate Answer books are NOT required.
Duration of Paper	1.5 hours
Special Requirements	Show your workings; marks will be awarded for workings.

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THEN ENSURE THAT YOU HAVE THE CORRECT EXAM PAPER

SECTION A: COMPULSORY

QUESTION ONE

Fellows Ltd produce a range of products, with details for the most recent financial period listed in the table below.

	Product A	Product B	Product C
Total production (units)	600	900	300
Direct materials (per unit)	€25	€32	€17
Direct labour (per unit)	€100	€25	€50
Machine hours (per unit)	1	3	2
Batch size	200	100	50
Total purchase orders	6	9	10

Production overheads are normally absorbed using a machine hour rate. As Fellows Ltd is considering the introduction of an Activity-based costing system, the total production overheads have also been analysed as shown below.

Cost Pool	Overheads	Cost driver
Machine maintenance	€35,100	Machine hours
Production scheduling	€29,250	Production batches (set-ups)
Quality	€35,100	Units of output
Materials handling	€17,550	Purchase orders

Required:

- (A) Calculate the total costs and the cost per unit for each product using:
- (i) Traditional (absorption) costing, with production overheads allocated based on machine hours.
 - (ii) Activity-based costing (ABC), with production overheads allocated based on the cost drivers listed in the question.

[Show all your workings clearly]

(32 marks)

- (B) Consider the following view expressed at a recent management meeting of Fellows Ltd. State whether you agree or disagree, explaining the reason(s) for your answer.

“All organisations must take a long-term view if they are to survive and thrive therefore the relevant range does not matter in organisational decision making”

(8 marks)

(Total: 40 marks)

SECTION B
ANSWER ANY TWO QUESTIONS

QUESTION TWO

Contessa Ltd commenced operations on July 1st 2020. Currently a single product is manufactured and sold. The following information is available for the year to 30th June 2021.

Sales (in units)	4,000
Selling price per unit	€24.60
Production (in units)	5,500
Variable manufacturing costs (total)	€67,650
Fixed manufacturing overheads (total)	€26,950
Variable selling expenses (total)	€12,000
Fixed selling expenses (total)	€8,000

Required:

- (A) Calculate the unit product cost, the value of closing stock and the operating profit using each of the following methods:
- (i) Marginal costing;
 - (ii) Absorption costing.
- (18 marks)**
- (B) Management at Contessa Ltd is confused as to why the profits reported differ under each of the methods in Part (A) above. Prepare a short note reconciling the profit figures and explaining why this difference occurs.
- (6 marks)**
- (C) Distinguish between planning activities and control activities in management accounting.
- (6 marks)**
- (Total: 30 marks)**

QUESTION THREE

Quaver Ltd is a small company producing violins. There is a strong demand for their products, with demand often outstripping supply. The following details for the month of December 2021 relate to the budgeted sales of the 'Master' model produced at the company's workshop in Cork city. Budgeted fixed costs for the month are expected to total €9,000.

	Per 'Master' unit (violin)
Budgeted sales price per unit	€400
Budgeted variable cost per unit	€220

Required:

- (A) Calculate and explain the use of each of the following measures for Quaver Ltd, showing your workings, for the month of December 2021:
- (i) Breakeven point in units and in sales revenue;
 - (ii) Operating profit, percentage margin of safety and degree of operating leverage if 65 'Master' units are actually sold.

State two assumptions underpinning your analysis.

(15 marks)

- (B) Quaver Ltd is considering hiring an apprentice for the Cork workshop, at a cost of €18,000 per annum. This will enable the Quaver Ltd to make and sell an additional 12 'Master' violins each month. Using the incremental approach, advise Quaver Ltd on whether they should proceed with this proposal.

(5 marks)

- (C) Quaver Ltd is also separately considering another proposal to begin producing and selling guitars. The proposed product design is called 'Lyric' and has budgeted unit variable costs of €180 and a budgeted unit sales price of €350. Quaver Ltd anticipates a sales mix of 80% 'Masters' and 20% 'Lyrics'. Introducing the 'Lyric' product would also lead to an increase in the monthly fixed costs (total increase of €20,160 per annum).

- (i) Determine the breakeven point in units and in sales revenue;
- (ii) Determine the operating profit and advise Quaver Ltd on whether they should implement the proposal if unit sales in December 2021 are 56 'Masters' and 14 'Lyrics', supporting your answer with relevant workings.
Provide one non-financial consideration in your recommendation to Quaver Ltd.

(10 marks)

(Total: 30 marks)

QUESTION FOUR

Consider each of the following statements. For each statement, state whether you agree or disagree, explaining your answer in each case.

- (A) Conversion costs are all the costs involved in the production and sale of a unit of finished goods; they include both product costs and period costs.
- (B) Sunk costs measure the benefit given up when once decision alternative is selected over another; thus, they are differential costs and should always be considered when making decisions.
- (C) Operating leverage and margin of safety will be higher in a capital-intensive company than in a labour-intensive company with the same total revenues and total costs.
- (D) The following monthly activity levels and associated costs were recorded at Alpine Ltd for the most recent financial year.

HIGH: June	3,450 units	Total cost: €14,240
LOW: November	2,100 units	Total cost: €9,920

If it is planned to produce 2,500 units in December 2021, then based on the cost function for the most recent financial period, the expected cost is €11,200.

- (E) Cost structure refers to the relative proportions in which an organisation's products are sold.

(5 parts * 6 marks each = Total: 30 marks)